THE EFFERVESCE CRISIS

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THE EFFERVESCE CRISIS

Effervesce is loosing ground in a shifting market

CONSECUTIVE DECLINE

01 JAN 2026 - 15 FEB 2026

Decline over the 3Qs of 15 days each

CAMPAIGN FAILURE

SUMMER OF JOY CAMPAIGN

Did not perform as expected

COMPETITVE PRESSURE

DIGITAL SHELF DOMINANCE

Zest - Bio steals customers

THE CHALLENGER STRATEGY

- ✓ **GLP-1 FRIENDLY MESSAGING**
- ✓ **HEALTH FORWARD FUNCTIONAL BENEFITS**
- ✓ **SUSTAINABLE PACKAGING**
- ✓ **DIGITAL FIRST PRESENCE**

DIAGONOSTIC FRAMEWORK

- ✓ **ANALYSIS: WHO** IS CHURNING?
- ✓ **CONTEXT: WHERE** ARE THEY GOING?
- ✓ **ROOT CAUSE: WHY** ARE THEY SWITCHING?
- ✓ **ACTION: WHAT** DOES THIS MEAN STRATEGICALLY?

Without diagnosing the root cause, any strategic response risks misallocating resources and accelerating brand erosion.

DATA HYGIENE & CLEANING

Ensuring Data Reliability for Accurate Consumer Insights

Date

Issue: String format (DD-MM-YYYY)

Action: pd.to_datetime conversion

Impact: Time-series analysis

Product_Name

Issue: Typos ("Priivatee Labeel")

Action: Standardized variants

Impact: Clean categorization

Price_Per_Unit

Issue: Pricing anomalies

Action: Median imputation

Impact: Consistent pricing

Consumer_Age

Issue: Outliers {-5, 999}

Action: Flagged for exclusion

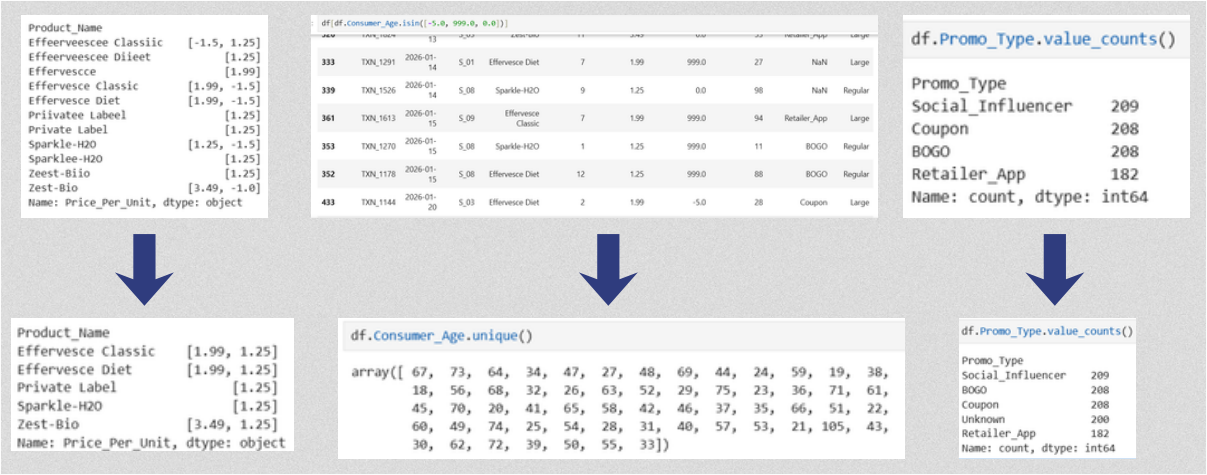
Impact: Accurate segmentation

Promo_Type

Issue: 20% missing (200 nulls)

Action: Kept as "None"

Impact: Promo effectiveness ready



OUTCOME: Clean, reliable dataset ready for segmentation, pricing elasticity, and consumer behavior analysis

FEATURE ENGINEERING FOR SEGMENTATION

Creating Features to Identify Who's Leaving and Where They're Going

Period
Time-based churn tracking

P1 (1 Jan-15 Jan)/P2 (16 Jan-31 Jan)/ P3 (1 Feb-15 Feb)

Age_Group
Generational behavior differences

Gen-Z / Millennials / Gen-X/ Boomers+

Health_Segment
Based on product preferences

Health-conscious/ Normal

Price_Segment
From price-per-unit patterns

Value/ Mid/ Premium

Value_Seeker
Identifies price-sensitive shoppers

Value Seeker/ Premium Seeker

Brand
Tracks brand switching patterns

Effervesce / Zest-Bio / Private/ Sparkle-H2O

```
df[['Period', 'Age_Group', 'Health_Segment', 'Price_Segment', 'Value_Seeker', 'Brand']].head()
```

	Period	Age_Group	Health_Segment	Price_Segment	Value_Seeker	Brand
0	P1	Boomer+	Normal	Value	Value Seeker	Private Label
30	P1	Boomer+	Healthy	Premium	Value Seeker	Zest-Bio
29	P1	Boomer+	Healthy	Mid	Value Seeker	Effervesce
27	P1	Millennial	Normal	Mid	Premium Seeker	Effervesce
26	P1	Gen-X	Normal	Value	Value Seeker	Sparkle-H2O

These features allow us to pinpoint which specific consumer groups are churning and where they're going—enabling us to distinguish between competitive substitution (Zest-Bio) and value migration (private labels).

WHO'S LEAVING & WHERE ARE THEY GOING?

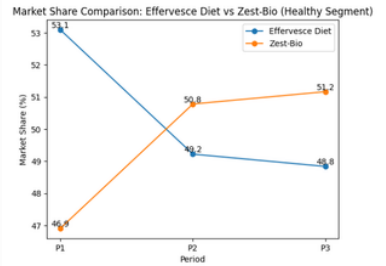
Market Share Analysis by Consumer Segment

💚 Health-Conscious Segment

Effervesce: ↓

Zest-Bio: ↑ +4.26 pp

💡 *Functional benefits drive switch*

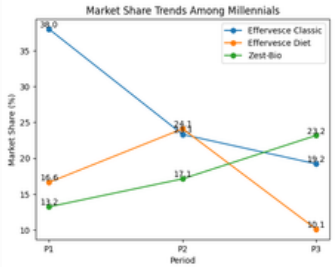


👥 Millennials (27-42 years)

Effervesce: ↓

Zest-Bio: ↑ +9.95 pp

💡 *Health-forward positioning wins*

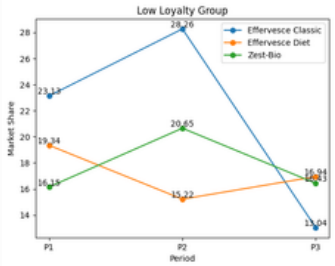


⭐ High-Loyalty Consumers

Effervesce: ↓

Zest-Bio: ↑ +10.46 pp

💡 *Best customers switching*

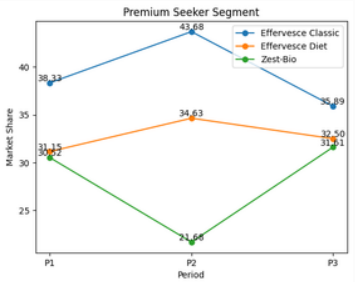


💎 Premium Seekers

Effervesce: ↓

Zest-Bio gains premium share

💡 *Willing to pay for health value*

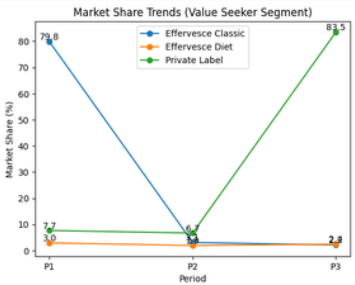


🏷️ Value Seekers

Effervesce: ↓

Private Labels: ↑ +3.67 pp

💡 *Price sensitivity, not brand shift*

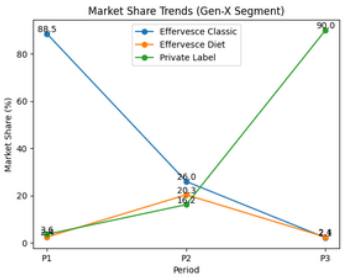


👥 Gen-X Consumers

Effervesce: ↓

Private Labels gain

💡 *Pack-size inefficiencies*



⚠️ **KEY FINDING: Premium/health segments → Zest-Bio (functional switch) | Value segments → Private Labels (price switch)**

TWO DIFFERENT PROBLEMS

Not One Crisis — Two Independent Consumer Trends

1 Health-Conscious Consumers Switching to Zest-Bio

WHO
Millennials, high-loyalty, premium buyers, health-focused

WHY THEY'RE LEAVING
Want functional benefits, GLP-1 compatibility, sustainability — NOT cheaper price

BUSINESS IMPACT
Losing future profit pools & brand relevance in wellness category

This is a POSITIONING problem

2 Price-Sensitive Shoppers Moving to Private Labels

WHO
Gen-X, value seekers, budget-conscious, price-sensitive

WHY THEY'RE LEAVING
Pure price pressure — pack sizes don't match needs, promos ineffective

BUSINESS IMPACT
Losing volume share but lower long-term profit impact

This is a PRICING problem

Different problems need different solutions: Problem 1 needs INNOVATION, Problem 2 needs PRICE OPTIMIZATION

GEN-Z PACK SIZE BEHAVIOR

Current Pack Architecture Doesn't Match Gen-Z Purchase Patterns

EFFERVESCE PACK OPTIONS:

REGULAR PACK
Lower price, smaller size

THE MISSING OPTION — MID-SIZE PACK:
Effervesce lacks a mid-size pack aligned with Gen-Z buying habits, limiting small-household reach, repeat purchases, and competitiveness against flexible pack options.

LARGE PACK
Higher price, bigger size

THE GEN-Z PROBLEM:

KEY DATA FINDING:
Gen-Z Large Pack Share: 8.7%
Market Average: 40.6%
→ Gen-Z is 79% BELOW market for large packs

WHAT THIS MEANS:
- Gen-Z consumers AVOID large pack sizes
- Single-person & small households can't commit
- No mid-size option for their needs
- Preference for smaller, more frequent purchases

Pack Size Share (%) by Age Group

Pack_Size	Large	Regular
Age_Group		
Gen-Z	8.7	91.3
Millennial	59.4	40.6
Gen-X	51.6	48.4
Boomer+	52.0	48.0

GEN-Z BEHAVIOR
Prefer Regular packs
8.7% adopt Large packs

≠

MARKET AVERAGE
40.6% buy Large packs
Family/multi-person focus

SOLUTION NEEDED: Introduce mid-size pack to capture Gen-Z/small household segment currently underserved

PROMOTIONAL MISALIGNMENT

We are shouting where Gen-Z isn't listening

THE DISCONNECT

✓ **RETAILER APP ENGAGEMENT:**
8-12% (ABYSMAL)

✓ **SOCIAL INFLUENCER:**
5-8% (BARELY REGISTERS)

COMBINED DIGITAL SHARE: <15%
Meanwhile, 80%+ of Gen-Z discover brands on social

WHY THIS MATTERS

✓ **WRONG CHANNELS**
Investing in Retail Media Networks (Walmart Connect) that Gen-Z actively avoids

✓ **WRONG MESSAGE**
BOGO/displays drive 60-70% of purchases but train Gen-Z to wait for discounts, not love Effervesce

✓ **COMPETITVE ADVANTAGE**
Zest-Bio uses micro-influencers (10K-100K followers) at 1/10th the cost, driving 3× Gen-Z engagement

Promotion Share (%) by Age Group:

Promo_Type	BOGO	Coupon	Retailer_App	Social_Influencer	Unknown
Age_Group					
Gen-Z	87.3	3.2	2.9	3.2	3.3
Millennial	20.9	22.0	20.8	17.1	19.2
Gen-X	85.9	3.8	3.4	3.5	3.4
Boomer+	25.0	20.6	14.3	20.8	19.3

EFFERVESCE TODAY

60% of digital budget → Retail Media
Result: <10% Gen-Z engagement

ZEST-BIO REALITY

$50K TikTok campaign
Result: 2M+ impressions in 1 week

STRATEGIC CHOICE AND RECOMMENDATION

The Strategic Fork in the Road

Option A: Retro-Premiumization

Appeal to nostalgia, heritage, vintage aesthetic

Option B: Functional Line Extension

Launch wellness-focused, benefit-driven innovation

WHY FUNCTIONAL WINS

✓ **TARGETS THE RIGHT ENEMY:**
Competes directly with Zest-Bio

✓ **FIGHTS THE RIGHT BATTLE:**
Premium functional ($3.49), not value nostalgia

✓ **WINS BACK THE RIGHT CUSTOMERS:**
Health-conscious Millennials with high loyalty

PRODUCT BLUEPRINT

✓ ELECTROLYTE-ENHANCED HYDRATION

✓ VITAMIN-FORTIFIED (B-COMPLEX, C)

✓ ADAPTOGEN-INFUSED WELLNESS

✓ ZERO SUGAR, ORGANIC CERTIFIED

✓ GLP-1 FRIENDLY (EXPLICIT CLAIM)

OUR RECOMMENDATION: Launch "Effervesce THRIVE"

THANK YOU

Questions?